CANADIAN TAXATION OF LIFE INSURANCE

THIRTEENTH EDITION

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this preemptive self-identification is not necessarily an admission of abusive tax avoidance, it will assist the CRA in identifying those transactions that may be subject to GAAR application.

Whether these reporting requirements could apply to transactions involving life insurance including leveraged life insurance strategies, will need to be considered. The CRA has been increasingly focused on tax promoter schemes and leveraged insured annuities (see discussion in 17.6 E). Many of the leveraged life insurance strategies discussed in this chapter are already quite well known in the marketplace. To the extent that no confidentiality agreement is required by the advisor or promoter and no form of guarantee of tax benefits offered to the client, it may be unlikely that these strategies meet the definition of a reportable transaction. However, where leveraged life insurance is combined with other elements, such as the payment of fees to the advisor by a third party promoter or other warning signs that the life insurance is used or will be used as part of a more complex tax planning strategy, compliance with these rules may be required. It remains to be seen if the category of notifiable transactions may specifically include transactions involving leveraged life insurance.

D. — Tax shelter rules

Generally, the tax shelter rules require a promoter to report and obtain a tax shelter identification number. In simple terms, a property is a tax shelter if, in the first four years of acquiring the property, the total of amounts represented to be deductible, equal or exceed the cost of the interest in the property. There have been no reported tax cases involving the application of the tax shelter rules to life insurance planning arrangements. However, there have been CRA technical interpretations in the context of leveraged insured annuities that comment on the tax shelter rules. Further discussion of the tax shelter rules is found at 17.5.C.vi in the context of leveraged insured annuities.

The main requirements under section 237.1 of the Act for an arrangement to be treated as a tax shelter are: there must be an acquisition of property; the promoter must have made statements or representations that a mathematical requirement would be met; and, that mathematical requirement is satisfied if in any of the first four taxation years after acquisition of the property, the deductions equal or exceed the cost of the property. Each of these elements has been the subject of case law and commentary.

In general, the tax shelter rules would only be a consideration in the leveraged insurance context where there is leveraging within the first 4 years of the arrangement. The main question relating to the property requirement is whether it is only the investment into which borrowed money is put that constitutes the property or whether the life insurance policy is included with the investment as part of the relevant property. This would be relevant in determining the cost for purposes of the mathematical requirement. The representation requirement would be satisfied where verbal or written communications are made about the tax benefits of the arrangement. In the case of immediate leverage, if interest or collateral insurance

deductions are discussed or illustrated in connection with a tax shelter property, it would appear that this requirement would be met.

The mathematical requirement is probably the most pertinent in the context of immediately leveraged life insurance. If the cost of the property is the cost of the investment into which borrowed funds are invested, and if the borrowing is treated as a limited recourse amount it would be a prescribed benefit that would reduce the cost. If so, any deductions for interest or collateral insurance may exceed that cost. To not be treated as a limited recourse amount, there must be bona fide arrangements evidenced in writing for repayment within a reasonable period, not exceeding 10 years and interest must be payable at least annually at a rate equal to or greater than the lesser of the prescribed rate at the time the debt arose and the prescribed rate during the term of the debt with the interest being paid within 60 days after the end of each taxation year of the borrower.

4.3 — Application and Associated Risks of Leveraged Life Insurance Programs

The following section will describe several of the leveraged life insurance applications and discuss the associated risks.

A. — Example 1: Individual retirement application

The facts

A is a 44-year-old individual who earns income from employment. A is in the highest marginal tax bracket, maximizes contributions to an RRSP and TFSA, and has eliminated non-deductible debt. A has a $500,000 need for life insurance for family protection coverage. A is looking for a tax efficient investment vehicle that can provide for additional cash flow at retirement.

The structure

A acquires an exempt life insurance policy insuring on A's life with a face amount of $500,000. Deposits are made to the policy throughout the 16 years prior to retirement at age 60. The cash surrender value in the policy accumulates on a tax-deferred basis.

Upon A's retirement, A borrows the additional funds from a financial institution (lump sum or in a series of annual borrowings) that A requires for personal living expenses. Under the terms of the loan, the life insurance policy is assigned as collateral security. The loan is structured so that interest is capitalized and added to the outstanding principal.

At A's death, the life insurance death benefit proceeds will be used to fund the repayment of the outstanding bank loan. Any proceeds remaining after the repayment will be paid tax-free to the named beneficiaries under the policy. It is important to note that the loan amount plus the capitalized interest will reduce the amount of the death benefit payable to the beneficiaries of the policy upon the death of the life insured. The death benefit pattern should be structured to ensure that there is

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Applicability of the tax shelter rules

Section 237.1 of the Act contains special rules for arrangements which fall within the definition of a "tax shelter". These rules should be considered any time there are tax deductions associated with the acquisition of property.

The tax shelter rules impose an obligation on a person acquiring a property which is a tax shelter to report to the Minister of Finance certain details about the property, including an identification number for the tax shelter. Failure to file a report would deny the person any deductions and claims for income tax associated with the tax shelter.

While there has been a CRA technical interpretation (CRA View 2009-0340381R3 dated March 31, 2010) in the context of leveraged insured annuities that comment on the tax shelter rules, there have been no reported cases involving the application of the tax shelter rules to leveraged life insurance planning arrangements. However, the tax shelter rules may be a consideration in the leveraged insurance context where there is a leveraging within the first 4 years of the arrangement.

In simple terms, a tax shelter occurs when a taxpayer acquires property where statements or representations are made purporting that the tax benefits and deductions arising from the acquisition will equal or exceed, within four years of the date of purchase, the net costs of acquiring said property. There are three main components to the tax shelter test: (1) the property requirement; (2) the representation requirement; and (3) the mathematical requirement.

Under subsection 248(1) of the Act, "property" is broadly defined to include "property of any kind". As a result, the property requirement under the tax shelter test is easily satisfied. However, with regard to leveraged life insurance strategies, the main question relating to the property requirement is whether it is only the investment into which borrowed money is put that constitutes the relevant property or whether the life insurance policy is included with the investment as part of the relevant property. Property that is inextricably linked and inseparable would be combined to form the relevant property for the tax shelter test. In Hexalog Ltd. v Her Majesty the Queen (2005 TCC 67), as part of a property requirement analysis the Court found that two components of a teak plantation investment were an "inseparable whole" because no investor would have purchased one element without the other based on the representations made. On this basis, it would be reasonable to include the life insurance policy as part of the relevant property for the tax shelter test if the policy is purchased to initiate the leveraged life insurance strategy and the illustration provided to the prospective buyer includes representations of interest deductions and collateral insurance deductions as an integrated solution.

The representation requirement also has a low threshold that is satisfied when a "promoter" makes statements or representations about the tax benefits of the arrangement. Case law is inconsistent on how direct the representation must be to connect the property to the tax benefit (see Canada v Baxter (2007 FCA 172) and Krumm v Canada (2021 FCA 78)). This requirement may be met if interest or collateral insurance deductions are verbally discussed or illustrated in connection with a tax shelter property.

The mathematical requirement would be satisfied if (A) the represented tax deductions against income are greater than (B) the cost of the property less (C) any prescribed benefit. This can be expressed as an equation A > (B – C). With regard to leveraged life insurance strategies, the danger of being put offside of the tax shelter test comes from the loan being considered a "limited recourse amount" (defined under section 143.2 of the Act), which would be deemed to be a prescribed benefit. The strategy relies on using borrowed funds to purchase investments which would increase variable B (in addition to the amounts paid for life insurance -see below). If the loan is a limited recourse amount, and therefore a prescribed benefit, it would offset the investments purchased with the borrowed funds and B minus C would effectively be nil. If this occurs, even a nominal amount of represented tax deductions (A) would put the strategy within the mathematical requirement and may result in a tax shelter.

However, there are two considerations that would likely result in the mathematical requirement not being satisfied for a traditional leveraged life insurance strategy. First, if the life insurance is included as relevant property (in addition to the investment amount), the amount of premiums paid would increase variable B such that the total property cost would be greater than the prescribed benefit created by a limited recourse amount.

Second, not all loans are automatically considered limited recourse amounts and would therefore not automatically be a prescribed benefit. The rationale behind the prescribed benefit is to reduce the cost of the acquired property to reflect the extent to which the purchaser has mitigated their investment risk. Loans that are not limited recourse amounts are not prescribed benefits and would therefore not impact the tax shelter calculation. Based on subsection 143.2(7) of the Act, loans are not limited recourse amounts when there is a bona fide arrangement evidenced in writing for repayment within a reasonable period, not exceeding 10 years and interest must be payable at least annually at a rate equal to or greater than the lesser of the prescribed rate at the time the debt arose and the prescribed rate during the term of the debt with the interest being paid within 60 days after the end of each taxation year of the borrower. Simply put, a loan is more likely to be considered a bona fide arrangement if the terms are commercially sound (see Cassan v The Queen (2017 TCC 174), Cassan).

The other critical component is that the lending term cannot exceed 10 years. There is a deeming rule under ss. 143.2(12) that is designed to catch attempts to circumvent the 10-year repayment term by using a series of shorter loans that total a duration more than 10 years. However, in Cassan, it was determined that provided the lender requires the borrower to requalify for the loan within 10 years and the borrower cannot reasonably expect the loan to be automatically renewed on the same terms without requiring a requalification, the length of the repayment term should not impact the bona fide arrangement.

Traditional leveraged life insurance strategies are fundamentally similar to other leveraged investing strategies with the difference being the source of collateral. The tax shelter rules can be mitigated if the lender and the borrower are acting as arm's length parties in a commercially reasonable transaction.

Manulife Tax Tips, September, 2026, Leveraged life insurance – personal ownership
https://advisor.manulife.ca/advisors/insurance/tax-retirement-and-estate-planning/technical-planning-support/leveraged-life-insurance-personal-ownership.html